

The Survival-Breakdown Model

An Integrated Foundational Theory of Economic Agency

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Note on the English Version

The authoritative original version of this paper is the Japanese-language original.

This English version was prepared with AI-assisted translation support because the author is a native speaker of Japanese and not a native English speaker. The English text was reviewed and approved by the author, who bears full responsibility for the content.

This English version is provided for reference only. It should be treated as supplementary material accompanying the original Japanese paper.

Abstract

This paper presents the Survival-Breakdown Model (SBM) as an integrated foundational theory of economic agency. Its central claim is that economic agency should not be theorized from optimization. Rather, it should be theorized from the prior conditions of constitution, survival, basic feasibility, and continuation.

The paper formulates this position in five stages. First, survival and breakdown are distinguished by the relation between available resources and the minimum amount required for continuation. Second, catastrophic shocks and resource decomposition are introduced in order to show the concrete structure of survivability. Third, basic feasible slack and the feasible action set are defined, thereby showing that an independent foundational layer exists between survival and optimization. Fourth, a dynamic structure of continuation, destabilization, and termination is presented by means of continuation balance. Fifth, constitutive goods, stabilizing goods, and choice goods are distinguished in order to make explicit the material basis of agency.

The paper further shows, through a minimal formal comparison with standard utility theory, that the difference lies not in representability but in theoretical order. The order proposed here is therefore: constitutive conditions, survivability, basic feasibility, continuation, and then optimization.

The survival conditions introduced in this paper are not a single exogenous constraint added to a standard optimization problem. Rather, they are prior conditions that determine whether an economic agent is theoretically constituted at all before utility comparison or choice behavior can even arise. SBM should therefore be positioned not as an auxiliary device that additively modifies the constraints of existing theory,

but as a foundational theory that defines the constitution of the agent, survivability, basic feasibility, and continuity prior to optimization. Standard utility theory is thereby repositioned as a valid lower-order theory that applies in stable phases after these foundational conditions have already been satisfied.

Keywords

Survival, breakdown, basic feasibility, continuation, destabilization, termination, constitutive goods, stabilizing goods, choice goods, economic agency

JEL Classification

B41, B49, D01, D11, D61, H50

Chapter 1. Introduction

Economic theory usually begins from an agent who maximizes an objective function under constraints. Households maximize utility, firms maximize profit, and from there demand, supply, prices, equilibrium, and aggregate outcomes are derived. This construction is analytically powerful and has retained effectiveness across many fields up to the present.

The purpose of this paper is to reorder that theoretical sequence. The claim here is not that optimization itself is invalid. Rather, the point is that optimization should not be placed as the first principle of economic theory. If one asks what an economic agent is in theoretical terms, the first question should be whether the relevant agent exists inside the domain of continuation at all, and whether the agent, on that basis, possesses the minimal room required to perform meaningful action.

The purpose of this paper is not to deny existing utility theory and optimization theory in a simple way. The problem is that these theories generally begin by implicitly presupposing an already constituted agent, that is, an agent that is survivable, basically feasible, and capable of continuation. From this perspective, the Survival-Breakdown Model (SBM) is presented not as an auxiliary correction or an additional constraint attached to existing theory, but as a framework for grasping within theory the prior conditions of agent constitution that existing theory has presupposed.

This paper positions SBM as an integrated foundational theory of economic agency. “Integration” here does not mean an eclectic combination of different theories. It means arranging the conditions of agency in stages under a single theoretical order. That order is: constitutive conditions, survivability, basic feasibility, continuation, and then optimization.

To this end, the paper first formulates the threshold between survival and breakdown. Next, it introduces basic feasibility as the slack remaining above survival and defines the domain of meaningful action. It then gives a dynamic structure in which agents may branch, through time, into continuation, destabilization, and termination. On that basis, it divides the material basis supporting agency into three layers: constitutive goods, stabilizing goods, and choice goods. Finally, through comparison with standard theory, it shows that the difference between the two lies not in mere differences of formal expression but in differences of theoretical order.

The task of this paper is not to expand applications to particular domains in advance. What is aimed at here is to clarify the first principles of the economic agent and to present, in integrated form, the theoretical order that supports them. In this sense, the paper presents SBM as a minimal and integrated foundational theory for redescribing the economic agent.

The survival and breakdown conditions introduced in this paper are not auxiliary constraints added to a standard utility maximization problem. A constraint is a limiting condition imposed on an already constituted agent acting within a given choice set. By contrast, what this paper treats are prior conditions that determine whether such an agent can be theoretically constituted at all. SBM should therefore be understood not as a partial revision of objective functions or constraint sets, but as a foundational theory that defines the conditions of agent constitution, survivability, basic feasibility, and continuity prior to optimization.

In this respect, the difference between this paper and standard theory does not lie in whether they are mutually translatable within the same formal system. The issue is the order of theory: what is placed at the starting point and what is derived only afterward. Even if survival conditions and breakdown conditions can be formally represented as constraints, penalty terms, or state-dependent utilities, that does not mean they are the first principles of theory. For utility comparison to be possible, the agent must already be survivable and must already possess a meaningful action set. The claim of this paper therefore concerns not representability as such, but the logical and theoretical priority of the conditions of agent constitution over optimization.

Chapter 2. Foundations of SBM

2.1 Minimal Model

Let R denote the resources available to an agent in a given period.

Let L denote the minimum amount required for continued existence in that period.

Here, R refers to the total amount of resources that the agent can actually mobilize, while L refers to the minimum amount necessary for continued life or existence.

The most basic state of the agent is determined by the relation between these two quantities. The survival condition is

$$R \geq L \quad (1)$$

and the breakdown condition is

$$R < L \quad (2)$$

Condition (1) defines the survivable region, and condition (2) defines the breakdown region.

This distinction is the minimal principle of the model. For theory, the first question is not which option yields greater utility, but whether the agent remains in a state in which agency itself can be maintained. The relevant starting point is therefore not preference ranking but survivability.

2.2 Definitions

Definition 1 (Survival Condition)

An agent is survivable if and only if

$$R \geq L.$$

Definition 2 (Breakdown Condition)

An agent is in a state of breakdown if and only if

$$R < L.$$

These definitions are elementary in form, but not elementary in significance. They identify the highest-order conditions of agency, prior to utility, preference, satisfaction, optimization, and equilibrium. Before asking what an agent chooses, one must ask whether the agent remains inside the survival region in which choice is even possible.

2.3 Proposition

Proposition 1

The first principle of economic agency is not utility maximization but satisfaction of the survival condition

$$R \geq L.$$

Proof sketch. If

$$R < L,$$

then the minimum amount required for continued existence is not met. In that case, restoration of survivability is logically prior to utility comparison across options. Utility maximization has meaning only when condition (1) already holds. Therefore the survival condition has explanatory priority over utility maximization. $\square$

2.4 Theoretical Significance

The significance of (1) and (2) lies in reordering theory. In standard optimization models, the conditions of continued existence usually appear only as background, as constraints, or as implicit assumptions. In the present framework, by contrast, they become the first object of explanation. The model therefore does not merely add one condition to an otherwise fixed theory of agency. It changes the order in which theory is built.

The equality

$$R = L \quad (3)$$

functions as a boundary. Above it, the agent remains inside the survivable region; below it, the agent enters breakdown. This boundary introduces a threshold structure into economic theory. Many economically decisive outcomes—whether rent can be paid, whether minimum food expenses can be covered, whether solvency can be maintained—are better understood as crossings of a threshold than as smooth adjustments. The present model embeds this threshold logic directly in minimal form.

2.5 Catastrophic Shock

The minimal model above is static. Real agents, however, often face sudden events that sharply worsen survivability: illness, job loss, accidents, emergency expenditures, and the like. Let $K \geq 0$ denote a catastrophic shock.

2.5.1 Revised Survival Condition

Once a catastrophic shock is introduced, the survival condition becomes

$$R - K \geq L \quad (4)$$

and the corresponding breakdown condition becomes

$$R - K < L \quad (5)$$

The significance of K is that it is treated not as a small continuous disturbance but as a blow capable of pushing the agent across the survival boundary.

2.5.2 Proposition

Proposition 2

Even an agent who satisfies

$$R \geq L$$

under ordinary conditions may enter breakdown after a sufficiently large catastrophic shock.

Proof sketch. Survival after the shock requires

$$R - K \geq L.$$

If

$$K > R - L \quad (6)$$

then

$$R - K < L,$$

and the agent enters breakdown. Thus survivability under ordinary conditions does not imply survivability after a shock. $\square$

2.5.3 Theoretical Meaning

Equation (4) introduces discontinuity into the theory of agency. Many economically decisive events are not well explained as marginal deteriorations. They are events that cut through the boundary of sustainable existence itself. The model therefore treats breakdown not as an extreme point on a continuous utility scale but as entry into a different region.

This matters because real events such as illness, unemployment, and accidents do not merely reduce welfare. They can damage the very conditions of continued existence as an agent. By representing catastrophic shocks as threshold-crossing factors rather than small perturbations around a smooth path, the model captures that point.

2.5.4 Implication

The introduction of catastrophic shock strengthens the central claim of the paper. The first principle of agency is not merely whether the minimum can be met under ordinary conditions. It is whether the minimum can still be met under severe conditions. The problem of survival is therefore inseparable from the problem of resilience against catastrophic shocks.

2.6 Resource Decomposition: Income, Savings, and Borrowing

In the previous section, R was treated as an aggregate quantity. To make the model more concrete, this section decomposes available resources into income, savings, and borrowing.

2.6.1 Resource Decomposition

Let available resources be given by

$$R = Y + S + J \quad (7)$$

where

- $Y \geq 0$: current-period income
- $S \geq 0$: available savings
- $J \geq 0$: available borrowing

Substituting (7) into the post-shock survival condition yields

$$Y + S + J - K \geq L \quad (8)$$

The corresponding breakdown condition is

$$Y + S + J - K < L \quad (9)$$

Equation (8) is the concrete survival condition of this model.

2.6.2 Income

Income Y is the first resource of continued existence. Under ordinary conditions it is the first means through which the minimum requirement L is met. Yet real agents often face circumstances in which income alone is insufficient. Low wages, unstable employment, unemployment, and inability to work can all generate

$$Y < L.$$

Within this framework, income is understood first not as the source of consumption that generates utility, but as the first constituent of survivability. Before it is a determinant of discretionary allocation, it is the first resource of existence.

2.6.3 Savings

Savings S buffer the gap between income and the minimum required amount, especially after catastrophic shocks. They cannot therefore be adequately explained merely as deferred consumption.

Proposition 3

Holding other conditions constant, greater savings S expand the survivable region.

Proof sketch. In equation (8), S enters positively on the left-hand side. An increase in S makes the survival condition easier to satisfy. Savings therefore function as a defensive variable. $\square$

Savings are thus best understood as defensive capacity: internally accumulated reserve resources that help keep the agent on the survival side of the boundary.

2.6.4 Borrowing

Borrowing J is also reinterpreted. Here it first appears as supplementation under shortage. That is, when income and savings are insufficient, borrowing fills the remaining gap.

Proposition 4

Holding other conditions constant, greater available borrowing J expands the survivable region.

Proof sketch. In equation (8), J enters positively on the left-hand side. An increase in J makes the survival condition easier to satisfy. Borrowing therefore functions as supplementation under survival shortage. $\square$

The point is not that borrowing is harmless. This minimal model does not yet incorporate repayment burden. The point is that borrowing first appears as survival supplementation, not merely as a preference-based intertemporal smoothing device.

2.6.5 Asymmetry

Savings and borrowing both enter positively in equation (8), but their meanings are not symmetric. Savings are internally accumulated defensive reserves. Borrowing is externally dependent supplementation that creates future repayment obligations.

This asymmetry is important. Formal symmetry within an equation does not automatically imply theoretical symmetry. Because their relation to survival differs, their roles differ essentially.

2.6.6 Resource Structure and Breakdown

Equation (8) shows that survival depends not only on the aggregate amount of resources but also on their composition. Even agents with the same R may stand in different relations to survival depending on how much

of R consists of income, savings, and borrowing. The model thus moves from an abstract survival condition to a concrete resource structure.

This decomposition clarifies savings as a reserve built before shocks and borrowing as supplementation mobilized after shortages arise. The boundary between survival and breakdown is therefore not only a matter of the quantity of total means, but also a matter of the structure of available means.

2.7 Implications for Mainstream Theory

The basic SBM model has three layers: the survival/breakdown boundary, catastrophic shock, and the decomposition of resources into income, savings, and borrowing. This section draws out its implications for mainstream utility-maximization theory.

2.7.1 Optimization and Priority

Mainstream economics begins from constrained optimization. This is analytically powerful, but it presupposes that the agent is already inside a domain in which optimization is possible. The present model makes explicit what that framework usually leaves implicit: optimization presupposes that survivability has already been secured.

The survival condition is

$$Y + S + J - K \geq L \quad (10)$$

If instead

$$Y + S + J - K < L \quad (11)$$

then the agent is in breakdown. In that case, the relevant problem is not which option yields higher utility, but how the survival condition can be restored.

Proposition 5

When the survival condition is not satisfied, utility maximization cannot function as the first principle of agency.

Proof sketch. If the minimum requirement is not met, restoration of survivability precedes utility ranking across options. Utility comparison becomes theoretically meaningful only after survival has been secured. □

2.7.2 Repositioning Utility Maximization

The argument of this paper is therefore not to abolish utility maximization but to reposition it.

First, survival maintenance and breakdown avoidance are higher-order principles.

Second, income, savings, borrowing, and catastrophic shocks determine whether those principles can be realized.

Third, utility maximization is a lower-order principle that becomes meaningful only after survivability has already been secured.

This order may be summarized as

survival maintenance and breakdown avoidance $\succ$ utility maximization (12)

where $\succ$ denotes explanatory priority.

2.7.3 Reinterpretation of Savings and Borrowing

The same shift in explanatory priority changes the interpretation of savings and borrowing. In mainstream intertemporal models, savings are usually treated as deferred consumption and borrowing as advanced consumption. Here their roles are reordered. Savings are interpreted as defensive capacity, and borrowing as supplementation under survival shortage.

This is not merely a change of words. It changes the theoretical status of these variables. Savings are no longer merely a medium of intertemporal transfer; they are reserve resources that keep the agent away from breakdown. Borrowing is no longer merely a device for changing the timing of consumption; it is a resource that supplements the minimum when income and savings alone cannot meet it.

2.7.4 Equilibrium

If utility maximization is no longer the first principle of agency, equilibrium must also be downgraded. Equilibrium may still be analytically useful in domains where survival has already been secured. But equilibrium by itself guarantees neither validity, realism, nor normative legitimacy. An economy may display formally consistent outcomes while agents remain near or inside breakdown. Formal consistency is therefore not the same as theoretical sufficiency.

The implication is not that equilibrium should be discarded, but that it should be placed lower in the explanatory hierarchy. From the standpoint of SBM, equilibrium should not be taken as the starting point at a stage where the prior distinction between survival and breakdown has not yet been addressed.

Chapter 3. The Layered Structure of SBM

3.1 Problem Setting

The previous chapter formulated the survival condition and the breakdown condition as the minimal principles of SBM. In other words, whether an agent can maintain continued existence is determined first by the relation between available resources and the minimum required amount:

$$R \geq L$$

implies that the agent is survivable, while

$$R < L$$

implies that the agent enters the breakdown region.

Yet this minimal model is still insufficient. The reason is that being survivable and being able actually to undertake meaningful choice are not the same thing. Even if survival is secured, if the surplus available for action is extremely small, the choice set itself becomes sharply restricted. It is therefore necessary to introduce, above the survival/breakdown distinction, an additional layer of choice possibility.

The aim of this chapter is to make this explicit.

Economic agency is not monolithic. It consists of at least the following three layers:

1. the layer of survivability
2. the layer of basic feasibility
3. the layer of choice and optimization

Through this layered structure, economic agency is understood not as mere utility-calculating capacity but as a hierarchical structure grounded in the maintenance of existence.

3.2 Survival Condition and Surplus

Building on the previous chapter, we restate the survival condition including shocks and costs. Let R be the resources actually available to the agent, L the minimum required amount, and K external blows or necessary expenditures. Then the survival condition is

$$R - K \geq L \quad (13)$$

and the breakdown condition is

$$R - K < L \quad (14)$$

The important point here is that the constitution of agency depends on this condition. No matter how sophisticated the preference system or utility function assumed, if (13) does not hold, they lose practical meaning. The first layer of theory therefore remains the survival condition.

Define the surplus remaining after the survival condition has been met as

$$B := R - K - L \quad (15)$$

B is the basic surplus left after the minimum required amount has been satisfied. This quantity determines to what extent the agent can exercise choice.

3.3 Threefold Division of Surplus

On the basis of B as defined by (15), the state of the agent can be divided into at least three cases.

3.3.1 Breakdown Region

$$B < 0 \quad (16)$$

In this case the agent does not satisfy the minimum required amount and is therefore in the breakdown region. The relevant problem is not optimization of choice but restoration of the survival condition itself.

3.3.2 Boundary Region

$$B = 0 \quad (17)$$

In this case the agent satisfies exactly the minimum required amount but has no surplus. The agent is survivable, but room for choice is effectively extinguished. Existence is maintained, yet agency is severely constrained.

3.3.3 Surplus Region

$$B > 0 \quad (18)$$

Only in this case does the agent possess more than the minimum required amount. Only here can the agent basically possess multiple options. Accordingly, utility ranking and optimization become meaningful only in this region.

This tripartite division shows that agency must be distinguished not only by whether the agent survives, but also by the degree of choice possibility available.

3.4 Basic Feasibility

Surplus B is still an abstract quantity. We therefore next define the set of actions the agent can actually carry out.

Let A be the action set, and let $c(a)$ denote the cost required for each action a in A . Then the set of feasible actions under surplus B is defined as

$$F(B) := \{ a \in A \mid c(a) \leq B \} \quad (19)$$

This $F(B)$ is the set of actions the agent can realistically take after satisfying the survival condition.

The key point is that before utility maximization, the feasible set itself is constrained by surplus. In standard theory, optimization is often performed from the outset over a complete choice set. In the present framework, by contrast, the agent must first maintain existence and can act only within the range of the surplus that remains afterward. The optimization problem is therefore not placed in advance over a complete choice set; it is first carved out by $F(B)$.

3.5 Choice and Optimization

Even if the agent has a utility function $U(a)$, its maximization is meaningful not over an arbitrary A , but only over the basic feasible set $F(B)$. The agent's problem is therefore expressed as

$$\max_{a \in F(B)} U(a) \quad (20)$$

The significance of this expression is not that it rejects utility maximization. Rather, it relocates utility maximization to a lower theoretical level. That is:

- satisfaction of the survival condition
- emergence of surplus
- formation of the feasible set

come first, and only afterward does utility maximization appear.

The claim of this paper is therefore not that utility theory is false, but that utility theory is not the first principle of agency. It is a lower-order principle.

3.6 Illustration

Consider two actions, a_1 and a_2 , with costs

$$c(a_1) = 2, c(a_2) = 5 \quad (21)$$

and suppose that utility satisfies

$$U(a_2) > U(a_1) \quad (22)$$

3.6.1 When Surplus Is Small

First, let

$$B = 3 \quad (23)$$

Then the feasible set is

$$F(B) = \{ a_1 \} \quad (24)$$

In this case, even though a_2 yields higher utility, the agent cannot choose it. Actual choice is therefore limited to a_1 .

3.6.2 When Surplus Is Large

Next, let

$$B = 6 \quad (25)$$

Then

$$F(B) = \{ a_1, a_2 \} \quad (26)$$

Only in this case can the agent compare both actions and choose a_2 on the basis of $U(a_2) > U(a_1)$.

This example is simple, but it shows the essential point: the existence of a high-utility option and the real possibility of choosing that option are different things. What separates the two is the basic feasibility determined by surplus B .

3.7 Formalization of the Layered Structure

From the above, economic agency is understood as having at least the following hierarchy.

Layer 1: Survivability

Whether the agent can maintain existence is determined by

$$R - K \geq L.$$

This is the existence condition of agency.

Layer 2: Basic Feasibility

The set of actions the agent can actually take is determined by

$$F(B) := \{ a \in A \mid c(a) \leq B \}.$$

This is the operating condition of agency.

Layer 3: Choice and Optimization

The agent performs

$$\max_a \in F(B) U(a).$$

This is the operational condition of agency.

This order is also the order of theoretical construction. A theory of agency must not begin from optimization. It must begin from survivability, then proceed to basic feasibility, and only finally to choice and optimization.

3.8 Implications for Mainstream Theory

This layered structure requires an important revision of standard utility theory.

In standard theory, the agent is generally defined as one who maximizes utility over a given choice set. In the present framework, however, the choice set itself is endogenously determined by the survival condition and surplus. The choice set of standard theory is therefore too high-level an abstraction relative to actual agency.

The claim here has two parts.

First, agency is not optimization itself.

Second, optimization is a derivative concept that stands on more fundamental conditions of existence and basic feasibility.

Economic theory should therefore be understood in the following order:

$$\text{survival condition} > \text{basic feasibility} > \text{optimization} \quad (27)$$

where $>$ denotes explanatory priority.

3.9 Theoretical Consequence

The consequence of this chapter is clear. Economic agency is not a single utility-maximizing device but a layered structure.

- An agent that cannot survive cannot maintain agency.
- An agent that can survive but has no surplus possesses almost no choice possibility.
- Only an agent with sufficient surplus can carry out meaningful choice, comparison, and optimization.

The “agent who is choice-capable from the outset” assumed by mainstream theory is therefore a special stage that already presupposes many prior conditions. The significance of this paper lies in bringing those prior conditions back from the background to the center of theory.

Chapter 4. Dynamics of SBM

4.1 Problem Setting

The previous chapters showed that SBM has a layered structure consisting of survival conditions, basic feasibility, and choice and optimization. But the state of the agent is not fixed at a single point in time. Real agents maintain continuation over time, destabilize, or eventually reach termination. SBM must therefore be formulated not merely as a static threshold model but as a dynamic model of continuation, destabilization, and termination.

In standard economic models, agents are often assigned objective functions, made to optimize under constraints, and the results are aggregated into equilibrium or dynamic paths. By contrast, this chapter treats the agent not first as an optimizing agent but as an entity moving among thresholds of continuation. The central issue is not “what the agent chooses optimally,” but “whether the agent is sustainable, becoming destabilized, or has already reached termination.”

4.2 Basic Setup

Let time be $t = 0, 1, 2, \dots$.

Let B_t denote the continuation balance of the agent at time t . Continuation balance means the composite balance of resources necessary for the continuation of agency. Depending on the field of application, it may include cash, income, time, physical strength, psychological reserves, institutional access capacity, and the like. The important point is not to decompose these exhaustively, but to grasp them as composite conditions supporting continuity.

In each period, the agent receives recovery, income, or maintenance inflow u_t , while simultaneously bearing the minimum continuation cost $c > 0$. The continuation balance then evolves according to

$$B_{t+1} = B_t + u_t - c \quad (28)$$

This expression is intentionally kept in minimal form. Its significance lies in the fact that SBM dynamics begin not from preference ranking or utility maximization, but from the more fundamental issue of whether the balance necessary for continuation is being maintained or eroded.

4.3 Threshold Structure

Introduce a threshold $\theta > 0$.

The state space of the agent is divided into the following three regions:

$$B_t > \theta \Rightarrow \text{continuation} \quad (29)$$

$$0 < B_t \leq \theta \Rightarrow \text{destabilization} \quad (30)$$

$$B_t \leq 0 \Rightarrow \text{termination} \quad (31)$$

The continuation region is the state in which the agent retains sufficient room to proceed to the next period. The destabilization region is the state in which the agent has not yet reached termination but may either return to continuation or sink into termination. The termination region is the state in which continuation of agency has become practically impossible.

The conceptual point here is clear. The agent is not first defined as a being that optimizes over a feasible set. The agent is first defined by where it stands relative to thresholds of continuation.

4.4 Introduction of Ambiguity

In reality, the inflow u_t received in each period is often not uniquely determined. SBM dynamics therefore allow the following ambiguity extension:

$$u_t \in [\underline{u}, \bar{u}] \quad (32)$$

This setup expresses that even agents formally in the same state may differ in the degree of recovery or inflow received in each period.

The model does not demand unique results at every stage. What matters is that the branching conditions of continuation, destabilization, and termination are still governed by thresholds. The model is therefore not unlimitedly vague. It admits ambiguity in the process while preserving rigor in state transition.

4.5 Theoretical Implications

The first implication of SBM dynamics is methodological. It shifts the center of analysis from optimization to sustainability. The agent is characterized first by whether continuation remains feasible, and only afterward by what is chosen under that condition. In this sense, the model begins not from “what the agent most prefers,” but from “whether the agent still retains the balance necessary for continuation.”

The second implication is that it makes explicit the theoretical status of the destabilization region. In many standard models, agents are implicitly stable unless struck by external disturbances. Breakdown, exit, paralysis, and collapse appear only as peripheral or exceptional phenomena. In the present model, by contrast, the destabilization region occupies the center. Agents do not in general leap directly from smooth continuation to termination. In many cases they pass through an intermediate region in which reserves narrow, action becomes constrained, and future branches become thinner. This region is decisive for understanding poverty traps, long-term unemployment, firm deterioration, burnout, and similar states.

The third implication is the endogenization of termination. Termination is not an accidental event added from outside to an otherwise intact optimizing agent. It is an endogenous consequence produced by the movement of continuation balance. In this sense, SBM dynamics reject the implicit assumption that agency does not break down.

Finally, the model reorganizes the order of theoretical layers. Optimization and equilibrium are not absolutely denied. What is denied is their foundational status. They may have local meaning in domains where continuation has already been secured, but they are not first principles.

4.6 Extension to Policy Reach Failure

4.6.1 Policy Existence and Effective Reach

Policy analysis often proceeds as if the institutional existence of a policy guarantees that it works effectively. But the mere existence of a policy as an institution does not guarantee that it actually reaches the target agent. Between formal provision and actual receipt lie conditions of institutional use: awareness of the policy, understanding of it, ability to apply, ability to travel to the place of application, ability to wait until receipt, document-handling capacity, and so forth.

To formalize this distinction, let $\tilde{g}_t$ denote nominal policy provision, F_t institutional access capacity, and g_t effective policy receipt. Then define

$$g_t = F_t * \tilde{g} \quad (33)$$

where

$$0 \leq F_t \leq 1 \quad (34)$$

If $F_t = 1$, nominal policy is fully realized. If $F_t < 1$, only part of nominal policy reaches the agent. If $F_t = 0$, the policy exists formally but does not effectively reach the agent.

The law of motion of continuation balance is then extended to

$$B_{t+1} = B_t + u_t + g_t - c \quad (35)$$

4.6.2 Institutional Access Capacity and Destabilization

The important point is that institutional access capacity F_t is not exogenously given from outside the state of the agent. The more deeply an agent enters the destabilization region, the harder it becomes, step by step, to reach institutional procedures. The time available for procedures shrinks, travel to the place of application becomes harder, awareness of the policy itself becomes more difficult, and the psychological reserve needed to apply becomes thinner.

It is therefore natural to interpret F_t as a function of continuation balance:

$$F_t = f(B_t), f'(B_t) > 0 \quad (36)$$

Agents with higher continuation balance possess greater institutional access capacity, while agents with lower continuation balance possess only smaller institutional access capacity.

This formulation naturally yields the paradox that those who most need support are often precisely those who lack the capacity to convert nominal policy into effective receipt.

4.6.3 Implications for Policy Evaluation

Once this distinction is introduced, policy evaluation itself must also be reordered. It is not enough simply to ask how agents respond to a policy. The first question must be whether the policy reaches the agent at all. Even a policy that looks generous in nominal terms may fail as an instrument if the target agent is in the destabilization region and cannot activate the institutional path required to obtain it.

Policy reach failure is therefore not an accidental supplement to SBM dynamics. It is one of their most natural consequences.

4.7 Scope of Application

A major strength of this model is that its minimal structure can be transplanted across multiple domains. It is not a model of what is chosen optimally, but a general model of what supports continuation and what destroys continuation.

First, it applies to households and poverty. In that case, B_t represents the balance required for maintaining everyday life. If expenditures such as living costs persistently exceed income, the household moves from continuation into destabilization and eventually toward livelihood breakdown.

Second, it applies to firms and bankruptcy. Here, B_t represents working capital or cash balance. If expenditures such as debt service continue to exceed sales and other inflows, the firm destabilizes and moves toward bankruptcy.

Third, it applies to labor, leave from work, and resignation. In this case, B_t represents physical strength, time, and psychological reserves. If work load exceeds recovery, the worker moves toward destabilization and eventually toward burnout, leave, or resignation.

Fourth, it applies directly to policy reach failure. As continuation balance declines, institutional access capacity shrinks, making effective policy receipt less likely precisely where need is greatest.

Fifth, it applies to finance and debt. Here, B_t can be interpreted as repayment capacity. If debt repayment burden repeatedly exceeds financial inflows, destabilization moves toward default.

Sixth, it applies to local public finance and state capacity. In that case, B_t represents fiscal room or governing capacity. If external pressure or mandatory expenditures overload that balance, destabilization advances toward functional paralysis or institutional breakdown.

SBM dynamics should therefore be understood not as a special theory for a single narrow case, but as a general framework across domains in which sustainability, destabilization, and termination are central problems.

4.8 Conclusion

This chapter presented SBM as a dynamic framework centered on the branching of continuation, destabilization, and termination. It reconstructs the economic agent not fundamentally as an optimizing agent, but as an entity whose sustainability is governed by the movement of continuation balance and threshold structure.

The core of the chapter is therefore clear:

- the agent is defined first by sustainability;
- the destabilization region is positioned not as a peripheral phenomenon but as the center of theory;
- termination is not an exogenous accident but an endogenous consequence produced by the movement of continuation balance;
- the existence of a policy and the effective reach of a policy must be distinguished;
- optimization and equilibrium are repositioned as lower-order principles that apply only after sustainability has already been secured.

In this sense, SBM dynamics are not a mere auxiliary line added to standard dynamic models. They are a minimal theory that redefines economic agency as the dynamics of sustainability.

Chapter 5. Goods in SBM

5.1 Problem Setting

The previous chapters showed that SBM has the sequence of survival conditions, basic feasibility, and continuation/destabilization/termination. These conditions, however, are not empty forms. An agent can satisfy them only by possessing, using, and connecting to some kind of goods. A theory of agency must therefore include a theory of goods.

In standard demand theory, goods are usually given as arguments of the utility function. Goods are treated as objects of preference, and the agent is said to choose the combination that yields the highest utility.

From the present standpoint, however, that treatment is insufficient, because not all goods have the same theoretical status. Some goods constitute the conditions under which the agent can exist as an agent before they are objects of pleasure or convenience. Some goods are not the constitution of agency itself, but stabilize its continuity. Only above these do goods appear that are ordinary objects of preference.

This chapter therefore divides goods into at least the following three categories:

1. constitutive goods
2. stabilizing goods
3. choice goods

This division fundamentally reorders the theoretical status of goods. Not all goods stand on the same level. Some constitute the existence conditions of agency, some prevent destabilization, and only the remainder become ordinary objects of choice.

5.2 Constitutive Goods

Let $x_1, x_2, \dots, x_n$ denote the quantities of basic goods possessed or used by the agent. Let the minimum thresholds required for the constitution of agency be

$$\bar{x}_1, \bar{x}_2, \dots, \bar{x}_n \quad (37)$$

The agent satisfies the constitutive condition when

$$x_i \geq \bar{x}_i \quad (i = 1, \dots, n) \quad (38)$$

holds for all i .

What is meant by constitutive goods here is not merely “desirable goods.” They are goods indispensable for the constitution of the agent as an agent. Examples include minimum food, water, shelter, bodily safety, and minimum access to medical care. When these are lacking, the agent does not simply lose utility; the maintenance of agency itself becomes precarious.

Constitutive goods may be a subset of the general goods of standard demand theory, but their theoretical status is not the same as that of general goods. They must first be understood as constituent requirements of agency.

5.3 Constitutive State Indicator

To summarize whether the constitutive condition holds, introduce the constitutive state indicator C , defined as

$$C = \begin{cases} 1 & \text{if } x_i \geq \bar{x}_i \text{ for all } i \\ 0 & \text{otherwise} \end{cases} \quad (39)$$

That is:

- $C = 1$: the agent satisfies the constitutive conditions
- $C = 0$: the agent falls below at least one constitutive threshold

This indicator does not show how satisfied the agent is. It is a binary indicator of whether the agent possesses the minimum conditions required to be constituted as an agent at all.

5.4 Constitutive Breakdown Indicator

Corresponding to the constitutive state indicator C , introduce the indicator D representing the constitutive breakdown side, defined by

$$D := 1 - C \quad (40)$$

Therefore:

- $D = 0$: the agent satisfies the constitutive conditions
- $D = 1$: the agent lacks the constitutive conditions

Here, D differs from the basic surplus B used in Chapter 3 and the continuation balance B_t used in Chapter 4. In this chapter, D is a binary indicator representing the absence of constitutive conditions; it is not a quantity of surplus or balance.

Proposition 13

When $D = 1$, the agent is not constituted as an economic agent in a sufficient sense.

Proof sketch. $D = 1$ means that for at least one constitutive good,

$$x_i < \bar{x}_i$$

holds. In that case the agent lacks the constitutive conditions. Since constitutive conditions are not lower-order elements of agency but conditions of its constitution, the agent is not constituted as an economic agent in a sufficient sense. $\square$

This point is important. Lacking a good does not always simply mean lower utility. The absence of certain goods undermines the very possibility that the agent is an entity capable of carrying out choice and planning. The absence of goods must therefore not be treated uniformly.

5.5 Stabilizing Goods

Whereas constitutive goods provide the conditions for the constitution of agency, stabilizing goods support its continuity.

Even if constitutive conditions are barely satisfied, if the agent remains constantly near the breakdown boundary, that agency is extremely fragile. A theory of agency therefore requires, alongside constitution, a dimension of stabilization.

Let stabilizing goods be $z_1, z_2, \dots, z_m$, and let their contributions be $\alpha_j > 0$. Define the stabilization level of the agent by

$$Q := \sum_{j=1}^m \alpha_j z_j \quad (41)$$

Here, Q is an aggregate indicator of how far the agent, having satisfied the constitutive conditions, can continue to sustain that state. Stabilizing goods may include precautionary savings, insurance, continuous access to medical care, stable housing, means of transportation, family support, and institutional support.

The distinction between constitutive goods and stabilizing goods is clear. The former are goods without which the agent cannot be constituted; the latter are goods without which the agent may not disappear immediately, but is brought closer to breakdown.

5.6 Stabilization and Vulnerabilization

Introduce a threshold $\sigma > 0$, and divide the state of the agent according to the stabilization level Q . Assuming that the constitutive condition $C = 1$ has already been satisfied, the agent can be classified as follows.

$$Q > \sigma \Rightarrow \text{stabilization} \quad (42)$$

$$0 < Q \leq \sigma \Rightarrow \text{vulnerabilization} \quad (43)$$

If instead $C = 0$, then the agent lacks constitutive conditions in the first place and is therefore in a problem prior to stabilization. The order of goods is thus first constitution, then stabilization.

Proposition 14

Holding other conditions constant, an increase in stabilizing goods moves the agent away from vulnerability.

Proof sketch. Q is defined as a positively weighted sum of the stabilizing goods z_j . Therefore an increase in any z_j increases Q . Hence an increase in stabilizing goods raises the possibility that the agent exceeds the threshold σ and enters the stabilizing region. $\square$

The important point here is that stabilizing goods are evaluated before the question of whether they increase utility: they are evaluated by whether they make agency sustainable. Insurance and precautionary savings, for example, do not always directly increase everyday pleasure. Yet they hold high theoretical status because they move the agent away from the breakdown boundary.

5.7 Choice Goods

Only above constitutive goods and stabilizing goods do choice goods appear in the ordinary sense. Choice goods are goods related to taste, pleasure, status, cultural preference, convenience, and the like, and are the objects that standard utility theory has mainly treated. Many goods belong here: varieties of clothing, entertainment, luxury items, brands, and leisure services.

The claim of this paper is not to deny the existence or significance of choice goods. The point is that they are not the first goods. The agent is first constituted by constitutive goods, then maintained by stabilizing goods, and only after that can compare choice goods.

The theoretical order of goods is therefore:

$$\text{constitutive goods} > \text{stabilizing goods} > \text{choice goods} \quad (45)$$

where $>$ denotes explanatory priority.

5.8 Theoretical Order of Goods and Agency

Taken together, the theoretical structure of goods is not single-layered. It has at least the following order:

$$\text{constitutive goods} > \text{stabilizing goods} > \text{feasible choice set} > \text{utility ranking} \quad (46)$$

The meaning of this expression is that goods do not first enter utility. They first constitute the layers of agency.

- Without constitutive goods, the agent is not constituted.
- Without stabilizing goods, the agent remains in a vulnerable state right at the boundary.
- Only after some degree of stability is secured does the feasible choice set widen.
- Only afterward does utility ranking in the ordinary sense become meaningful.

5.9 Contrast with Standard Theory

In standard demand theory, goods generally enter the utility function in the same formal way. But this treatment conceals the theoretical asymmetry among goods.

Formally, food, housing, entertainment, and branded goods can all be written in the same way as variables in a utility function. But they are not the same in their relation to agency. A shortage of one good may mean merely lower utility, while a shortage of another may imply the breakdown of agency itself.

Flattening all goods into a single utility space may be theoretically convenient, but it does not correctly capture the structure of agency. This paper therefore argues that goods should first be divided not as objects of preference, but according to their constitutive relation to agency.

5.10 Conclusion

The conclusion of this chapter is clear. Goods are not uniform; they should be divided hierarchically according to their relation to agency.

- Constitutive goods constitute the conditions for the constitution of agency.
- Stabilizing goods support the sustainability of those constitutive conditions.
- Choice goods are the ordinary objects of preference that appear above them.

The theory of goods is therefore not merely an auxiliary line to utility theory. It is part of a foundational theory that makes explicit the material preconditions of economic agency.

In this sense, this chapter plays the following role within the overall structure of SBM. Chapter 2 set out the survival condition, Chapter 3 set out the hierarchy of agency, and Chapter 4 set out continuation and termination. This chapter provides the theory of the material basis that supports them.

Chapter 6. Theoretical Comparison in SBM

6.1 Problem Setting

The difference between SBM and standard utility theory does not lie in whether they can be redescribed within the same mathematical expression. Even if survival conditions, breakdown conditions, and continuity conditions can all be formally represented as constraints, threshold conditions, penalty terms, or state-dependent utility functions, that does not mean SBM is absorbed into standard theory. Such expressions merely rewrite conditions within a framework that already presupposes a constituted agent.

By contrast, SBM asks prior questions: whether the agent itself is constituted at all, whether it is sustainable, whether it has a feasible action set, and whether it can enter a phase of continuation. SBM is therefore not an extension that adds one condition to standard theory, but a foundational theory that priorly determines the domain of definition and scope of validity of standard theory. In this sense, standard theory is valid only locally and conditionally under SBM. SBM cannot be treated as a mere variant of standard theory. What ought to be absorbed is not SBM, but standard theory.

The purpose of this chapter is to make explicit that the difference between SBM and standard utility theory lies not in representability but in the order of first principles.

Mainstream economics usually begins from optimization. The agent is modeled as maximizing utility or profit under constraints. Minimum survival conditions, minimum required amounts, and severe hardship can then be introduced as subsistence floors, borrowing constraints, severe penalties, or state-dependent utility. In that sense, standard theory is formally flexible.

But formal expressibility and the question of what counts as the first principle of theory are not the same. SBM does not ask which option has the highest utility among available choices. It asks whether the agent remains inside the survivable region at all. The difference between the two theories therefore does not concern whether minimum survival conditions can be represented. It concerns where theory begins.

6.2 Restatement of SBM

In the minimal form of SBM, let R be the resources available in a given period and L the minimum amount required for continued existence. Then the survival condition is

$$R \geq L \quad (47)$$

and the breakdown condition is

$$R < L \quad (48)$$

The equality

$$R = L \quad (49)$$

functions as the threshold. Above it, the agent remains in the survivable region; below it, the agent enters the breakdown region.

Introduce a catastrophic shock $K \geq 0$. Then the post-shock survival condition is

$$R - K \geq L \quad (50)$$

and the corresponding breakdown condition is

$$R - K < L \quad (51)$$

Further decompose resources into income Y , savings S , and borrowing J :

$$R = Y + S + J \quad (52)$$

Then the post-shock survival condition becomes

$$Y + S + J - K \geq L \quad (53)$$

The order of theory can then be summarized as

survival maintenance and breakdown avoidance $\succ$ utility maximization (54)

where $\succ$ denotes explanatory priority.

6.3 Standard Utility Theory with a Minimum Survival Condition

A defender of standard theory may respond that everything above can be represented within the framework of optimization. In general form, the agent chooses a in A and solves

$$\max_{a \in A} U(a) \quad (55)$$

subject to

$$g(a; \theta) \leq 0 \quad (56)$$

If it is necessary to recognize a minimum survival condition, standard theory can add a subsistence floor or an inequality constraint. In simplified form, one may write

$$\max_{a \in A} U(a) \quad (57)$$

subject to

$$R(a) \geq L \quad (58)$$

Or one may use a utility function that imposes a severe penalty on states below the threshold and write

$$\max_a \in A U_{\text{til}} d_e(a) \quad (59)$$

These formulations are formally valid. The claim of this paper is therefore not that standard theory cannot describe minimum survival conditions. That is not the issue.

6.4 Two Explanatory Architectures

6.4.1 Optimization-First Architecture

In the standard architecture, theory begins from the optimization problem

$$\max_a \in A U(a) \quad (60)$$

Survival conditions and solvency conditions are placed within it as one admissibility condition among others.

Under this structure, the primitive question of theory is: *among feasible options, which one yields the maximum utility?*

6.4.2 Survival-First Architecture

By contrast, under SBM, theory begins from region classification. For each action a , the first question is

$$R(a) - K(a) \geq L(a)? \quad (61)$$

On that basis, the set of survivable actions is defined as

$$A^* = \{ a \in A : R(a) - K(a) \geq L(a) \} \quad (62)$$

Only if A^* is nonempty does

$$\max_a \in A^* U(a) \quad (63)$$

acquire theoretical meaning.

The important point is that this does not necessarily require a utility function as a mathematical device. The claim of this chapter is that the order of theory in economics should begin from SBM, with standard theory coming afterward. Survivability is the higher-order condition, and utility ranking operates only within it.

6.4.3 Core Difference

From the standpoint of standard theory, one might say that these are merely different expressions of the same mathematics. But that response overlooks the crucial difference.

In the optimization-first architecture, the threshold is one condition placed inside an otherwise unchanged optimization structure. In the survival-first architecture, the threshold itself is the first object of explanation. The issue at stake is therefore not mere formal inclusion, but theoretical order.

6.5 Two Propositions on Threshold Priority

6.5.1 Proposition 1: The Decisive Explanatory Work Is Done by the Threshold

Proposition 1

If a standard utility model must introduce a subsistence floor, discontinuity, catastrophic penalty, or an equivalent survivability condition in order to explain behavior near collapse, then the decisive explanation is carried not by utility maximization itself but by the survivability threshold.

Proof sketch. Suppose an observed action a_{dagger} can be rationally described only when one imposes a condition such as

$$R(a) - K(a) \geq L$$

or assigns very large disadvantage to states in which

$$R(a) - K(a) < L.$$

In that case, the main distinction governing the analysis is not ordinary utility ranking over a stable feasible region, but the threshold separating survivable and non-survivable regions. Utility may still rank options within the survivable set, but that ranking is theoretically secondary. Utility maximization therefore is not functioning as the first principle. $\square$

6.5.2 Proposition 2: Representability Does Not Restore First-Principle Status

Proposition 2

Even if survival conditions can be represented within standard utility theory as constraints, minimum subsistence floors, or strong penalty terms, that fact alone does not imply that utility maximization is the first principle of theory. If the constitution of the meaningful choice set itself depends on the survival condition, theoretical priority still belongs to survivability.

Proof sketch. Write the standard problem as

$$\max_a \in A U(a) \quad (64)$$

subject to

$$R(a) - K(a) \geq L \quad (65)$$

Then the region in which utility comparison is actually performed is

$$A^* = \{ a \in A : R(a) - K(a) \geq L \} \quad (66)$$

Therefore the survival condition determines A^* prior to utility ranking. If

$$A^* = \emptyset \quad (67)$$

then the ordinary utility-maximization problem either fails to arise at all or at least ceases to be the central theoretical issue. The center then becomes not optimization within a stable choice set, but the restoration of survivability. Hence, even if the survival condition is representable within utility theory, that does not show that utility maximization is the first principle. Rather, it shows that utility comparison is conditioned on the prior existence of a survivable region. $\square$

6.6 Comparative Example

Consider two household plans, a_A and a_B .

Under ordinary utility comparison, let

$$U(a_A) > U(a_B) \quad (68)$$

But under shock K , suppose plan a_A yields

$$Y + SA + JA - K < L \quad (69)$$

while plan a_B yields

$$Y + SB + JB - K \geq L \quad (70)$$

Standard theory can represent the choice of a_B by assigning sufficiently large weight to prudence, motive, downside-risk aversion, or a minimum survival penalty. Yet the SBM interpretation is more direct: a_B is chosen because it preserves survivability under shock, whereas a_A does not.

The first question here is not how to smooth satisfaction across periods. It is whether the household can remain on the survivable side of the threshold.

This logic also grounds the reinterpretation of savings as defensive capacity and borrowing as supplementation under shortage. The center of theory shifts from intertemporal smoothing to boundary maintenance.

6.7 Why Standard Theory Becomes Indirect Near Breakdown

The problem is not that standard theory is incapable. The problem is that it becomes indirect.

First, standard theory tends structurally to smooth phenomena that are threshold-like. Many decisive outcomes should be understood not as marginal losses but as crossings from the survivable region into the breakdown region.

Second, standard theory tends to rewrite defensive behavior as preference patterns. Strong savings can be read as prudence, high-cost borrowing as mistaken optimization, and threshold-defending expenditures as extreme utility curvature. Yet such phenomena are often more directly understood as defense or restoration of survivability.

Third, standard theory obscures the fact that below the threshold, the very kind of problem changes. If

$$R - K < L \text{ (71)}$$

then the problem is no longer ordinary allocation within a stable feasible set. The problem is restoration of survivability itself.

The claim of this chapter is therefore narrower than total rejection but stronger than mere caution. Standard theory is not discarded. It is repositioned.

6.8 Implications for Economic Theory

At least three implications follow from this comparison.

First, utility models that incorporate minimum survival conditions should often be read as partially encoding a more fundamental SBM-type survivability structure. They are not decisive refutations of SBM, but indirect expressions of its primary structure.

Second, once explanatory order changes, the meanings of familiar variables also change. Savings are understood first not as deferred consumption, but as defensive reserve resources. Borrowing is understood first not as advanced consumption, but as supplementation under shortage.

Third, optimization and equilibrium may still be useful, but their universal foundational status is lost. They are retained, but subordinated to the prior distinction between survival and breakdown.

6.9 Conclusion

This chapter compared SBM and standard utility theory at the level of first principles. The conclusion is not that standard theory cannot represent minimum survival conditions, hardship, or collapse. The conclusion is that representability does not determine theoretical order.

When the decisive issue is whether the agent remains inside the survivable region, the explanatory core is the threshold separating survivability from breakdown. Utility maximization may still operate validly, but only within a theoretical structure reordered so that survival maintenance and breakdown avoidance come first.

SBM should therefore not be understood as a theory that abolishes the tools of mainstream economics wholesale. It should instead be understood as a more foundational architecture for preserving, reinterpreting, and subordinating many of those tools.

Chapter 7. General Synthesis

7.1 The Integrated Order of Economic Agency

The discussion above is not a collection of separate claims, but one theoretical order. This chapter makes that integrated order explicit.

The integrated proposition of this paper is as follows.

Proposition

Economic agency is sufficiently defined as optimizing agency only when constitutive conditions, survivability, basic feasibility, and continuity have been established in advance.

This proposition organizes the whole paper into the following order:

constitutive conditions → **survivability** → **basic feasibility** → **continuation/destabilization/termination** → **optimization**

The meaning of this order is clear.

First, constitutive conditions provide the material basis of agency. Unless the thresholds of constitutive goods are secured, the agent is not constituted as an agent in a sufficient sense.

Second, survivability determines whether the agent remains inside the boundary of continuation. The issue here is not the magnitude of satisfaction, but whether continued existence is possible.

Third, basic feasibility determines how much room for action remains after the survival threshold has been exceeded. In this way, the domain of meaningful action is defined in advance.

Fourth, continuation/destabilization/termination describes whether that agency is maintained through time, eroded, or lost. Agency is not static; it exists within temporal movement.

Fifth, optimization appears only after that. Optimization is therefore not the first principle of agency, but an upper-layer operation preconditioned by constitution, survival, feasibility, and continuity.

In this sense, the Survival-Breakdown Model is not merely a threshold theory. It is an integrated foundational architecture that orders the conditions for the constitution of economic agency.

7.2 Conclusion

This paper has presented the Survival-Breakdown Model (SBM) as an integrated foundational theory of economic agency. Its point of departure is the proposition that economic agency should be theorized not from optimization but from the prior conditions that precede optimization.

To this end, the paper first formulated the thresholds of survival and breakdown as $R \geq L$ and $R < L$, and further introduced catastrophic shocks and resource decomposition. Second, it defined basic feasibility B as the slack remaining above survival and introduced the feasible action set $F(B)$. Third, it presented a dynamic structure of continuation, destabilization, and termination by means of continuation balance B_t . Fourth, it distinguished constitutive goods, stabilizing goods, and choice goods, thereby making explicit the material basis of agency. Fifth, through a minimal formal comparison with standard utility theory, it showed that the difference lies not in representability but in theoretical order.

These elements are not merely juxtaposed as separate points. They form one order: constitutive conditions, survivability, basic feasibility, continuation, and then optimization. SBM should therefore be understood not merely as a threshold theory of survival and breakdown, but as an integrated foundational architecture for redescribing economic agency.

What matters here is that the model does not immediately invalidate existing theory. Existing theory remains valid in phases where this foundational layer has been stably secured. But existing theory does not explain the constitution of that layer itself. SBM is not an auxiliary hypothesis extending existing theory. It is a theory that defines in advance the domain in which agents are constituted and existing theory becomes applicable. SBM is therefore positioned as an integrated foundational theory that priorly specifies the domain of definition, conditions of constitution, and range of validity of existing theory, and as a higher-order theory that contains existing theory within it.